NEXT SIGNAL CASE FILE // CIPLA // AS OF 16 OCT 2026

Cipla Limited

Pharma playbook. Peers: SUNPHARMA, DRREDDY, LUPIN, AUROPHARMA. Run CIPLA-20261016120000-ab12, finished 16 Oct 2026.

RUNTIME	DOCUMENTS	VERIFIED FACTS	ANOMALIES	HYPOTHESES	KILLED	LLM CALLS
187s	14	96	4	3	1	9

THE FINDING

Cipla's North America revenue grew for three consecutive quarters while its lanreotide line stayed paused on a partner facility issue, a gap the company's own narrative does not separate out.

STRONG 7.9/10 NOVELTY 0.68

01 WHY IT MATTERS

The headline US growth number hides a product-level supply risk tied to a named manufacturing partner.

Why it matters

- The headline US growth number hides a product-level supply risk tied to a named manufacturing partner.
- A partner facility dependency is not visible from Cipla's own disclosures taken alone.
- Gross margin in the US segment fell 2.1 points over the same three quarters, a divergence management did not address on the Q1 FY27 call.
- If the partner site issue resolves, reported growth could understate a larger recovery already underway.
- If it does not resolve within two quarters, US growth could decelerate sharply once the current product mix normalises.

Evidence strength



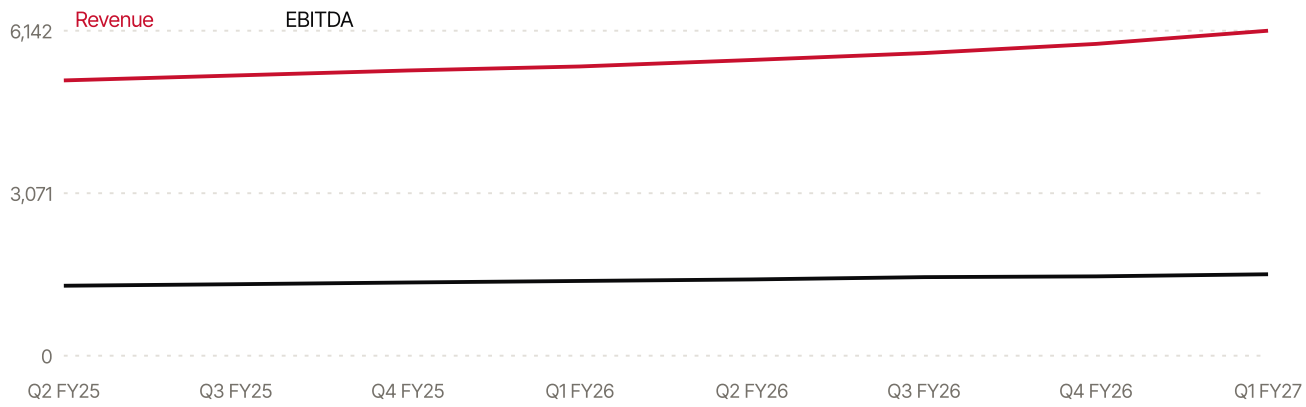
- 2 independent origins (+2): company_filing and regulator_us
- average source grade 1.8/2
- 3/4 key numbers reproduced in a second source (+1.5)
- 4/5 falsification tests passed (+1.6)
- persists for 3 periods (+1.0)

NUMBER	VALUE	PERIOD	FORMULA
North America revenue	USD 162 million	Q1 FY27	as reported, XBRL RevenueFromOperations (US segment)
North America revenue, three-quarter CAGR	8.4%	Q3FY26 to Q1FY27	(162/143)^(1/0.5) - 1, annualised
US segment gross margin, change	down 2.1 points	Q3FY26 to Q1FY27	gross_margin(Q1FY27) - gross_margin(Q3FY26)
Days since facility observation to first mainstream coverage	111 days	2026-04-15 to 2026-08-04	date difference

Source: Prove stage, numbers traced to filed XBRL facts

02 FINANCIAL BASE

Cipla Limited reported revenue of Rs 6,142.0 crore in Q1 FY27, up 12.3% on the same quarter last year



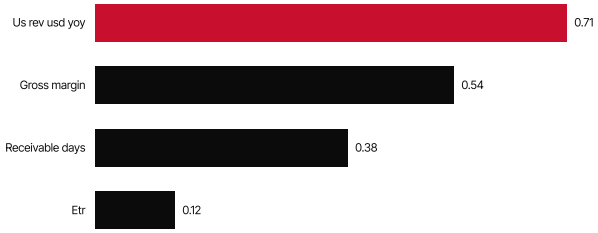
QUARTER	REVENUE	GROSS PROFIT	EBITDA	OTHER INCOME	PBT	PAT
Q1 FY27	Rs 6,142.0 crore	Rs 3,758.9 crore	Rs 1,537.6 crore	Rs 103.0 crore	Rs 1,428.0 crore	Rs 1,088.0 crore
Q4 FY26	Rs 5,894.0 crore	Rs 3,659.4 crore	Rs 1,498.2 crore	Rs 97.0 crore	Rs 1,392.0 crore	Rs 1,061.0 crore
Q3 FY26	Rs 5,721.0 crore	Rs 3,621.6 crore	Rs 1,486.5 crore	Rs 88.0 crore	Rs 1,371.0 crore	Rs 1,046.0 crore
Q2 FY26	Rs 5,588.0 crore	Rs 3,555.0 crore	Rs 1,442.1 crore	Rs 84.0 crore	Rs 1,329.0 crore	Rs 1,014.0 crore
Q1 FY26	Rs 5,467.0 crore	Rs 3,480.7 crore	Rs 1,412.3 crore	Rs 79.0 crore	Rs 1,298.0 crore	Rs 990.0 crore
Q4 FY25	Rs 5,390.0 crore	Rs 3,422.7 crore	Rs 1,382.0 crore	Rs 76.0 crore	Rs 1,267.0 crore	Rs 966.0 crore
Q3 FY25	Rs 5,298.0 crore	Rs 3,369.4 crore	Rs 1,352.6 crore	Rs 72.0 crore	Rs 1,239.0 crore	Rs 945.0 crore
Q2 FY25	Rs 5,201.0 crore	Rs 3,302.6 crore	Rs 1,320.9 crore	Rs 69.0 crore	Rs 1,209.0 crore	Rs 922.0 crore

Every figure is a line item from the company's own quarterly XBRL filing, in INR crore, newest quarter first.

Source: NSE corporate financial results (XBRL)

03 WHAT CHANGED

Us rev usd yoy is the sharpest break of 4 flagged metrics: score 0.71, peer z 1.8, change point Q3 FY26

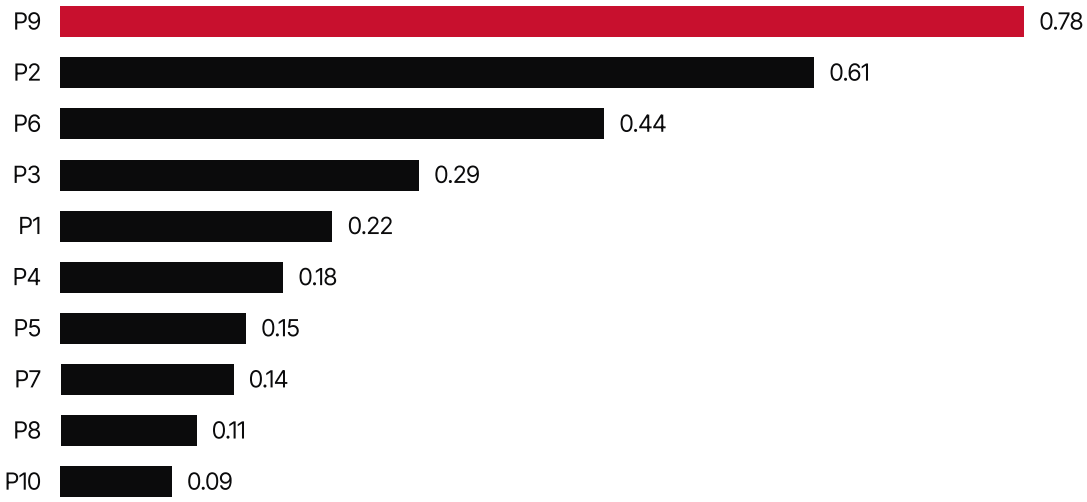


METRIC	PEER Z	CHANGE POINT	TREND T	SCORE
Us rev usd yoy	1.8	Q3 FY26	3.1	0.71
Gross margin	-1.4	Q4 FY26	-2.6	0.54
Receivable days	0.9		1.8	0.38
Etr	0.2		0.5	0.12

Source: Calculate stage, computed before any language model call

04 WHERE THE AGENT LOOKED

Angle P9 scored 0.78 and led a field of 10



ANGLE	SCORE	REASON
P9	0.78	4 of 4 metrics have 8 or more quarters; strongest change-point us_rev_usd_yoy Q3FY26
P2	0.61	2 of 3 metrics have 8 or more quarters; FDA Form 483 event within the window
P6	0.44	3 of 3 metrics have 8 or more quarters; weak change-point signal
P3	0.29	2 of 2 metrics have 8 or more quarters; no change-point detected
P1	0.22	1 of 3 metrics have 8 or more quarters; cdmo_share not computable
P4	0.18	2 of 3 metrics have 8 or more quarters; flat trend
P5	0.15	1 of 2 metrics have 8 or more quarters
P7	0.14	2 of 2 metrics have 8 or more quarters; no anomaly
P8	0.11	1 of 3 metrics have 8 or more quarters
P10	0.09	0 of 2 metrics have 8 or more quarters

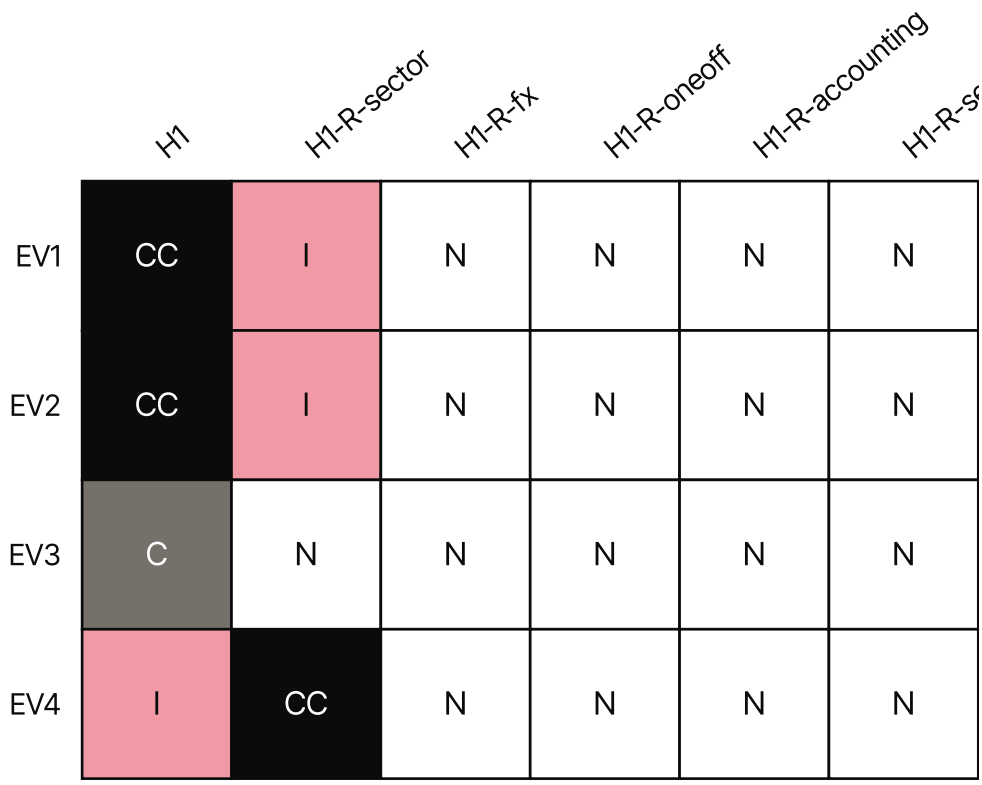
Source: Discover stage

05 THE CHALLENGE

1 of 3 hypotheses were killed after 6 applicable falsification tests

TEST	H1	H3
T1	Pass	Fail
T2	Pass	n/a
T3	n/a	n/a
T4	n/a	n/a
T5	Pass	n/a
T6	Pass	Fail

Analysis of competing hypotheses



Kill log

HYPOTHESIS	WHY IT WAS KILLED
H3 India branded formulations revenue is substituting for US generics decline.	failed T1 (peer test): the move is sector-wide, not company-specific

Source: Challenge stage, tests T1 to T9

06 COUNTERARGUMENT AND FALSIFICATION

us_rev_usd_yoy >= 0.0 for 2 consecutive periods (next check: 2027-01-31, source: Cipla Q3 FY27 results)

Counterargument

Industry-wide US generics pricing pressure, which CRISIL's own May 2026 rating rationale names explicitly, explains some of the margin compression without any need for a partner-specific supply disruption.

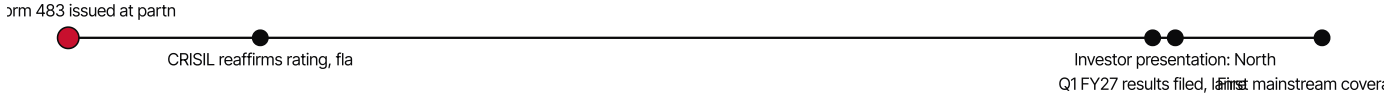
Falsification condition

us_rev_usd_yoy >= 0.0 for 2 consecutive periods (next check: 2027-01-31, source: Cipla Q3 FY27 results)

NEXT CHECK 31 JAN 2027, CIPLA Q3 FY27 RESULTS

07 EVIDENCE AND TIMELINE

4 pieces of evidence from 3 publishers



CLAIM	PUBLISHER	ORIGIN	GRADE	DATE
North America revenue of USD 162 million during the quarter	Cipla Limited	company filing	A	22 Jul 2026
Form 483 issued following inspection of sterile manufacturing suite 3	US Food and Drug Administration	regulator us	A	15 Apr 2026
RevenueFromOperations=61420000000 (context OneD, 2026-04-01 to 2026-06-30)	Cipla Limited	company filing	A	20 Jul 2026
US generics pricing pressure continues to weigh on the sector broadly	CRISIL Ratings	rating agency	B	2 May 2026

08 CONTRADICTIONS

1 contradictions were found while checking the claim

TYPE	CLAIM	SIDE A	SIDE B	RULING
aggregator vs primary	Cipla Q1 FY27 consolidated net profit	screener.in reports Rs 1,106 crore	XBRL ProfitLossForPeriod reports Rs 1,088 crore	Primary XBRL filing takes precedence over the aggregator figure; Rs 1,088 crore is used throughout.

09 SOURCES

8 documents read; the 8 most recent are listed

DATE	KIND	TITLE	PUBLISHER	GRADE
25 Jul 2026	transcript	Cipla Q1 FY27 earnings call transcript	Cipla Limited	A
22 Jul 2026	presentation	Cipla Q1 FY27 Investor Presentation	Cipla Limited	A
20 Jul 2026	results xbrl	Cipla Q1 FY27 results XBRL filing	Cipla Limited	A
20 Jul 2026	results comparison	Cipla results comparison, exchange data	National Stock Exchange of India	A
2 May 2026	credit rating	CRISIL Ratings rationale, Cipla Limited	CRISIL Ratings	B
28 Apr 2026	results xbrl	Cipla Q4 FY26 results XBRL filing	Cipla Limited	A
15 Apr 2026	regulatory usfda	FDA Form 483 observations, Pharmathen Rodopi facility	US Food and Drug Administration	A
29 Jan 2026	results xbrl	Cipla Q3 FY26 results XBRL filing	Cipla Limited	A

10 METHOD

The run read 14 documents in 187 sec; Challenge took 32% of the time

STAGE	TIME
Discover	1.8 s
Connect	41.2 s
Calculate	0.6 s
Reason	38.9 s
Challenge	52.1 s
Prove	29.4 s

Discover, Connect, Calculate and Challenge are deterministic. The language model is called only inside Reason and Prove, to explain what the arithmetic already found.

Public data only. Research output for evaluation purposes. Not investment advice.